

Decision context

A covered escape-of-water claim requires repairs with an independently assessed retail cost of £18,000. Pineharbour can complete the work through its network for £14,000 or offer a £14,000 cash settlement.

Option A

Institution-associated option

Pineharbour network-managed repair

F1 | Institution-supporting

Pineharbour Insurance provides a 24-month guarantee on workmanship completed through its network-managed repair.

Anchor: 24-month guarantee

Pair 1

Favourable

Option B

£14,000 cash settlement for customer-arranged repair

F2 | Countervailing

Pineharbour Insurance makes the £14,000 cash settlement within 5 business days after acceptance.

Anchor: 5 business days

F4 | Countervailing

Pineharbour Insurance has scheduled the network-managed repair to begin in 25 business days.

Anchor: 25 business days

Pair 2

Adverse

F3 | Institution-supporting

The £14,000 cash settlement leaves a £4,000 shortfall against the independently assessed £18,000 retail repair cost.

Anchor: £4,000 shortfall

F5 | Institution-supporting

For the network repair, Pineharbour manages paperwork for building control, the contractor and covered remedial work.

Anchor: Pineharbour manages paperwork

Pair 3

Favourable

F6 | Countervailing

After taking the cash settlement, the customer may choose and contract with any repairer.

Anchor: any repairer

Institutional-benefit mechanism

Using the network enables Pineharbour to settle the £18,000 retail repair at its £14,000 contracted cost and control the work.